Complete Stock Market – TRADEWITHUT

"Consistency beats intensity—small wins add up to big success." 🏆

Fundamental Analysis – The DNA of a Stock 🧬

Imagine you're **buying a shop** in your neighborhood. Would you buy it just because it *looks good* from the outside? Probably not! You'd want to know:

✔ **How much money the shop makes (Revenue & Profit)**

✔ **What products it sells (Business Model)**

✔ **How much debt it has (Financial Health)**

✔ **If it has strong loyal customers (Market Positioning)**

Just like evaluating a shop before buying, **Fundamental Analysis (FA) helps traders and investors analyze a company** before investing in its stock. It digs deep into the **financial health, management, and industry trends** to determine if the stock is worth buying or not.

Why Is It Used? 🤔

✅ **Finds Strong Companies** – Helps identify companies with long-term potential.

✅ **Avoids Overpriced Stocks** – Prevents investing in stocks that are hyped but weak.

✅ **Guides Long-Term Investment** – Great for investors who want to build wealth over time.

Think of **Fundamental Analysis as a doctor's check-up** for a company. It tells you whether the company is healthy, struggling, or just pretending to be fit! 🏥📈

1️⃣ **Quantitative Factors (Numbers & Financials)** 📊

- **Income Statement** (Revenue, Profit, Expenses)
- **Balance Sheet** (Assets, Liabilities)
- **Cash Flow Statement** (Operational, Investing, Financing)
- **Key Ratios** (P/E, ROE, Debt-to-Equity)

2️⃣ **Qualitative Factors (Business & Industry)** 🏢

- **Business Model** (How it makes money)

- **Competitive Edge** (Moat, Brand, Market Share)
- **Management** (CEO, Leadership, Strategy)
- **Industry Trends** (Growth, Demand-Supply)

How to use p/e?

The P/E ratio helps judge if a stock is priced fairly by showing how much investors are willing to pay for every ₹1 of earnings. Here's how:

1. **High P/E**: If a stock has a high P/E, it means investors are paying more for the company's earnings, often because they expect future growth. However, it could also mean the stock is overpriced.
2. **Low P/E**: A low P/E suggests the stock is cheaper relative to its earnings. It might be undervalued or facing challenges.

Median P/E: To find if a stock is fairly priced, compare its P/E to the **median P/E of its industry**. If a stock's P/E is higher than the industry average, it could be overpriced. If it's lower, it could be undervalued.

For example:

- **Stock A** has a P/E of 25.
- The industry median P/E is 20.

Stock A might be overpriced, or investors believe it will grow faster than others in the industry.

General Terms associated :

Types of Companies Based on Market Size

Companies are classified based on their **market capitalization (market cap)**, which is calculated as:

📌 **Market Cap = Share Price × Total Number of Shares**

1. Large-Cap Companies (₹50,000 Cr+ Market Cap) 🏦🚀

- These are well-established, financially strong companies with stable earnings.
- **Less volatile**, making them a safer investment.
- Examples:
  - **Reliance Industries** (₹18+ lakh Cr)
  - **TCS** (₹13+ lakh Cr)
  - **HDFC Bank** (₹11+ lakh Cr)

2. Mid-Cap Companies (₹10,000 Cr – ₹50,000 Cr Market Cap) 📊🔥

- Growing companies with **higher risk but higher return potential** than large caps.
- More volatile but can outperform in bull markets.
- Examples:
  - **Coforge** (₹35,000 Cr)
  - **Zomato** (₹22,000 Cr)
  - **Polycab India** (₹45,000 Cr)

3. Small-Cap Companies (Below ₹10,000 Cr Market Cap) 📈⚠️

- Young or emerging companies with **high growth potential** but also **high risk**.
- More volatile and less liquid than large/mid-caps.
- Examples:
  - **Borosil Renewables** (₹7,000 Cr)
  - **KPIT Technologies** (₹9,500 Cr)
  - **Tanla Platforms** (₹8,000 Cr)

Which One to Choose?

✅ **Large-Caps** – Safe, stable, for long-term wealth creation.

✅ **Mid-Caps** – Balanced risk-return, ideal for aggressive investors.

✅ **Small-Caps** – High risk, high reward; best for those with strong risk tolerance.

🔷 **Pro Tip:** A diversified portfolio with a mix of all three can balance risk and reward! 🚀

What is an Index? 📊

An **index** is a **benchmark** that tracks the performance of a group of selected stocks, representing a specific market, sector, or economy. It helps traders and investors analyze overall market trends.

Why is an Index Important?

✅ Shows the **market's health** 📈📉

✅ Helps in **passive investing** through index funds 📊

✅ Used as a **benchmark** to compare stock performance ⚖️

Examples of Stock Market Indices

Indian Market Indices

1. **NIFTY 50** – Tracks the **top 50 companies** listed on the NSE (e.g., Reliance, TCS, HDFC Bank).
2. **SENSEX** – Tracks the **top 30 companies** on the BSE (e.g., Infosys, ICICI Bank, ITC).
3. **Bank NIFTY** – Measures the performance of **12 leading banking stocks** (e.g., HDFC Bank, SBI, Kotak Bank).
4. **NIFTY IT** – Tracks the **top IT sector stocks** (e.g., TCS, Infosys, Wipro).

Technical Analysis: Simplified

What is it? Technical analysis is like studying a stock's past price movements to predict its future direction. Traders use charts and indicators to spot patterns and trends.

Why is it used?

1. **Forecasting**: It helps predict where the stock price might go next.
2. **Opportunity Identification**: It spots potential buying or selling points.
3. **Risk Management**: It helps traders avoid losses by recognizing warning signs.

In short, technical analysis is a tool that uses past data to make smarter trading decisions.

1️⃣ **Price Action (Charts & Trends)** 🖥️

- **Trends** (Uptrend, Downtrend, Sideways)
- **Support & Resistance** (Key price levels)
- **Candlestick Patterns** (Doji, Engulfing, Hammer)
- **Chart Patterns** (Head & Shoulders, Triangles, Double Top/Bottom)

2️⃣ **Indicators & Oscillators (Decision-Making Tools)** ⚙️

- **Moving Averages** (EMA)
- **Momentum Indicators** (RSI, MACD)
- **Volume Analysis**

3️⃣ **Market Psychology (Sentiment & Emotions)** 🧠

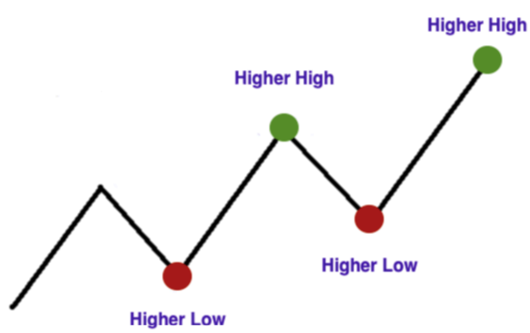
- **Fear & Greed Cycles** (Why markets move irrationally)
- **Volume & Price Correlation** (Smart money vs. Retail moves)
- **Breakouts & Fakeouts** (Identifying strong vs. false moves)

Trends ?

A trend in trading refers to the general direction in which a stock, market, or asset is moving over time. It helps traders understand whether prices are rising, falling, or moving sideways.

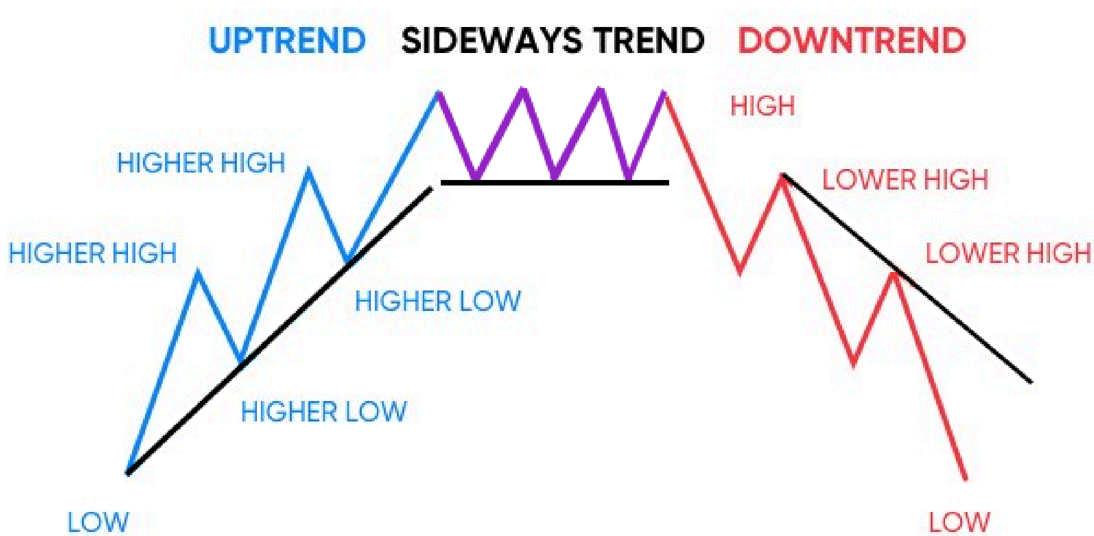
Types of Trends:

1. **Uptrend (Bullish)** – Prices make higher highs and higher lows, indicating buyers are in control.



2. **Downtrend (Bearish)** – Prices make lower highs and lower lows, showing sellers are dominating.

3. **Sideways Trend (Range-bound)** – Prices move within a fixed range, without clear upward or downward movement.



How to Use Trends?

- **Follow the trend**: "The trend is your friend" – traders prefer to buy in an uptrend and sell in a downtrend.
- **Identify trend reversals**: A trend shift signals a possible trading opportunity.

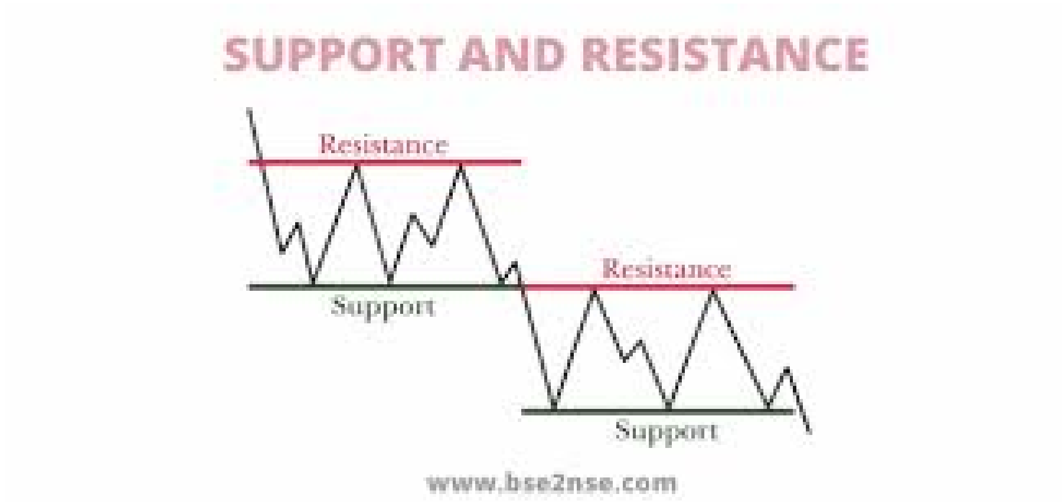
- **Use trendlines & indicators**: Moving averages, trendlines, and indicators.

Support and Resistance

What are they?
Support and resistance are key levels on a price chart where the stock tends to stop moving and reverse direction.

1. Support (Price Floor)
A support level is a price point where a stock tends to stop falling and bounce back up.
It acts like a floor, preventing further decline because buyers step in.
Example: If a stock keeps bouncing back from ₹100, then ₹100 is a support level.

2. Resistance (Price Ceiling)
A resistance level is where a stock struggles to move higher and often reverses downward.
It acts like a ceiling, preventing further rise because sellers take control.
Example: If a stock fails to break ₹150 multiple times, then ₹150 is a resistance level.



How to Use Them?

Buy near support: If a stock is near a strong support level, it could be a good buying opportunity.
Sell near resistance: If a stock is struggling to break resistance, it might be a good time to sell.
Breakout Trading: If the price breaks above resistance, it could indicate a strong uptrend. If it breaks below support, a downtrend may follow.

Types of Support and Resistance

Support and resistance can be classified into **static** and **dynamic** based on how they behave over time.

1. Static Support & Resistance (Fixed Levels)

- These are horizontal price levels that remain constant over time.
- Based on **historical price action**, where the stock repeatedly bounces or reverses.
- **Examples:**
    - **Previous Highs/Lows**: If a stock bounced from ₹500 multiple times, ₹500 is static support.

- Psychological Levels: Round numbers like ₹1,000, ₹5,000 often act as static support/resistance.

2. Dynamic Support & Resistance (Moving Levels)

- These change over time and move along with the price.
- Typically based on **indicators** that adjust as the stock moves.
- **Examples:**
  - **Moving Averages (MA)**: (Indicator)
    - **50-day or 200-day MA** acts as dynamic support in an uptrend and resistance in a downtrend.
    - Example: Nifty bounces off its **200-day MA** multiple times in a bull run.

  - **Trendlines**:
    - An upward **trendline** can act as dynamic support, while a downward trendline can act as resistance.
    - Example: A stock moving in an ascending channel respects the trendline as support.

How to Use Them?

- **Static levels** are useful for placing stop losses, targets, and reversals.
- **Dynamic levels** help in trend-following strategies and adjusting stop losses as trends evolve.

In short, **static support/resistance remains constant, while dynamic ones move with the price.** Traders use both to make better decisions. 🚀

Bonus Tool :

Fibonacci Tool & How to Use It

The **Fibonacci retracement tool** is a popular technical analysis tool used to identify potential support and resistance levels based on the **Fibonacci sequence**

How Does It Work?

The tool uses key Fibonacci ratios **(23.6%, 38.2%, 50%, 61.8%, and 78.6%)** to mark retracement levels, helping traders identify possible reversal points in a trend.

How to Use the Fibonacci Tool?

1. **Identify a Trend**
   a. In an **uptrend**, select the **low (swing low)** and drag to the **high (swing high)**.
   b. In a **downtrend**, select the **high (swing high)** and drag to the **low (swing low)**.
2. **Observe the Fibonacci Levels**
   a. **38.2% & 50%** – Shallow retracement; price may bounce back quickly.
   b. **61.8% (Golden Ratio)** – The most powerful level; often acts as strong support/resistance.
   c. **78.6%** – Deep retracement but still valid for a reversal.

Example:

- A stock moves **from ₹100 to ₹200**. Using Fibonacci:
  - **38.2% level** = ₹162
  - **50% level** = ₹150
  - **61.8% level** = ₹138 (Golden Ratio)

If the stock corrects and finds support around ₹138-₹150, it could be a good buying opportunity.

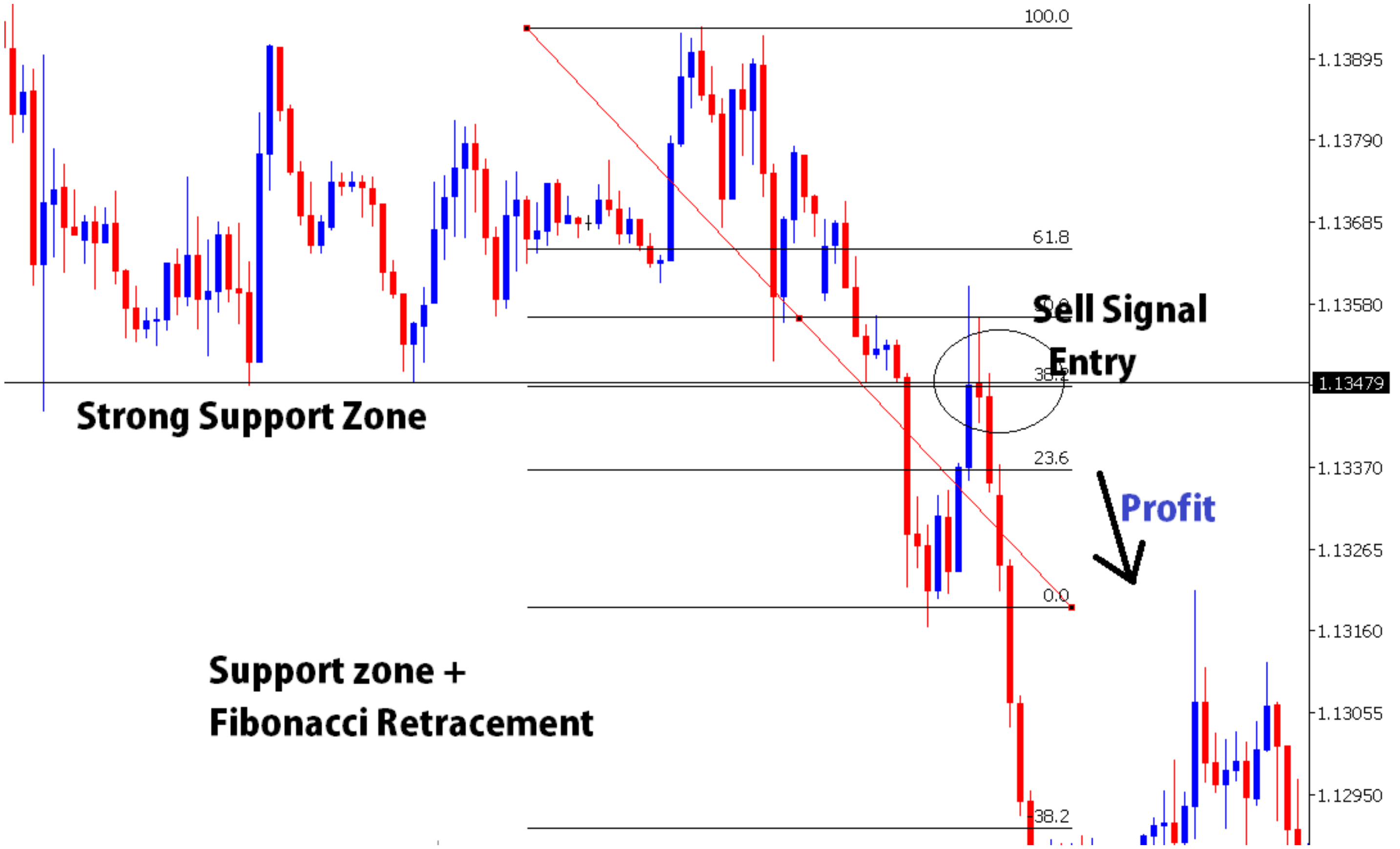
How Traders Use It?

✅ **Buying near support (in an uptrend)** at key Fibonacci levels.

✅ **Selling near resistance (in a downtrend)** when the price retraces to Fibonacci levels.

✅ **Combining with other indicators** like moving averages or trendlines for confirmation.

🔷 In short, the Fibonacci tool helps traders **predict price pullbacks and potential reversal zones** based on natural mathematical principles! 🚀

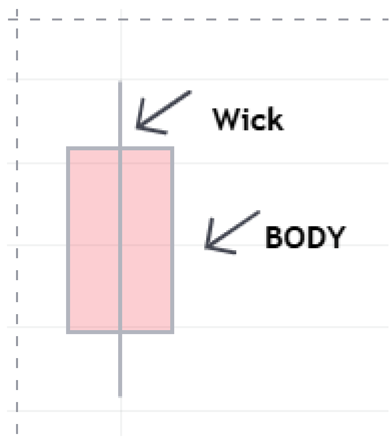

100.0
61.8
50.0
38.2
23.6
0.0
38.2
Sell Signal
Entry
Strong Support Zone
Profit
Support zone +
Fibonacci Retracement
1.13895
1.13790
1.13685
1.13580
1.13479
1.13370
1.13265
1.13160
1.13055
1.12950

What is a candle?

A **candle** (or **candlestick**) is a visual representation of a stock's price movement over a set period.

Structure of a Candle:

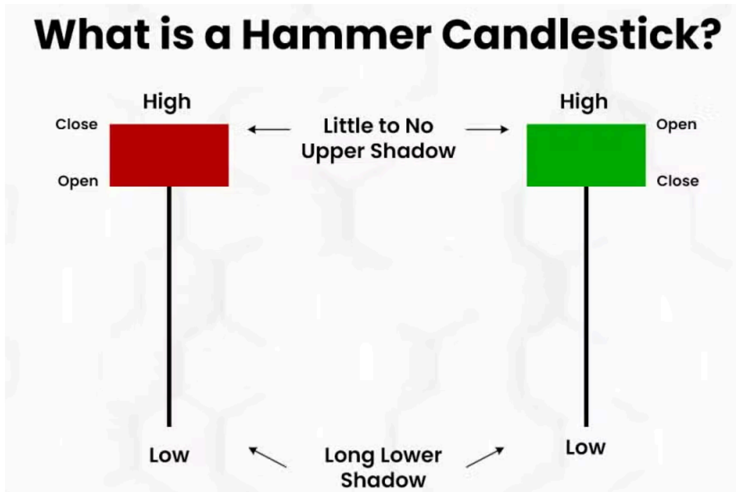
1. **Body**: The thick part of the candle shows the difference between the **open** and **close** prices.
    a. **Bullish (Green)**: Close is higher than open (price went up).
    b. **Bearish (Red)**: Close is lower than open (price went down).



2. **Wicks (Shadows)**: The thin lines above and below the body represent the **high** and **low** prices during that period.

Types of candle

1. Hammer

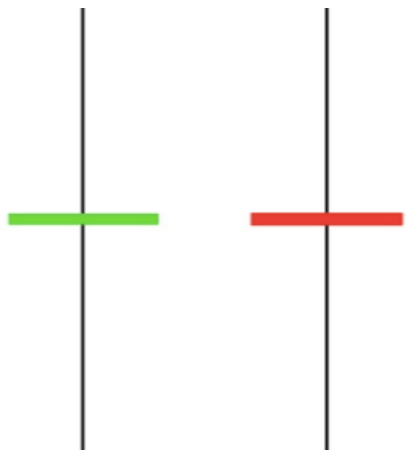


A **Hammer** candle is a specific type of candlestick that suggests a potential **trend reversal**, especially when it appears after a downtrend.

How to use it?

- **After a downtrend**: When a hammer appears after a consistent price drop, it signals that the selling pressure has slowed down, and buyers might be stepping in.
- **Confirmation**: To confirm, traders look for a follow-up bullish candle (e.g., a green candle the next day) to confirm that the trend is reversing.
- Put stop loss of candle low

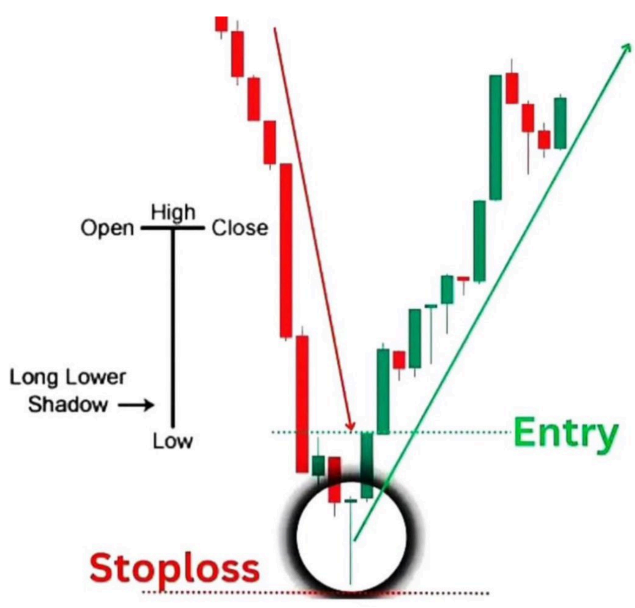
2.DOJI



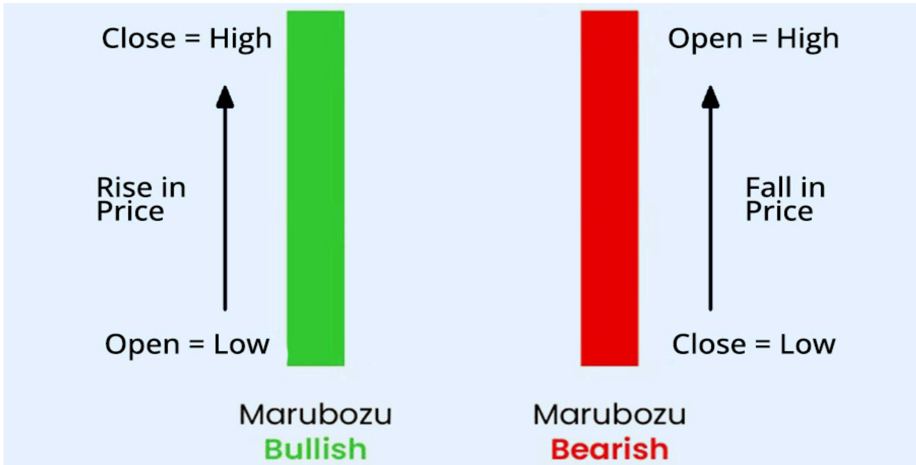
A **Doji** candle indicates **market indecision**, where the **open** and **close** prices are very close or the same, forming a small body with long wicks. It shows that neither buyers nor sellers were able to control the price during that period.

How to use it?

- **After an uptrend or downtrend**: A Doji often signals that the trend may be losing momentum and could reverse. It suggests that the market is unsure of the next move.
- **Confirmation**: A Doji is more reliable when followed by a strong price movement in the opposite direction (e.g., a bearish candle after a Doji in an uptrend suggests a reversal).



3. Marubozu/Big bar



A **Marubozu** candle is a strong, decisive candlestick with **no wicks** or very small wicks, indicating that the market was dominated by either buyers or sellers throughout the entire period.

How to use it?

1. **Bullish Marubozu**: Signals strong buying pressure, indicating that the price is likely to continue rising. It suggests that the buyers controlled the market throughout the period.
    a. **Use**: Look for this after a downtrend, as it could signal the beginning of an uptrend.

2. **Bearish Marubozu**: Signals strong selling pressure, indicating that the price is likely to continue falling. It shows that sellers dominated the market.
    a. **Use**: Look for this after an uptrend, as it could signal the start of a downtrend.

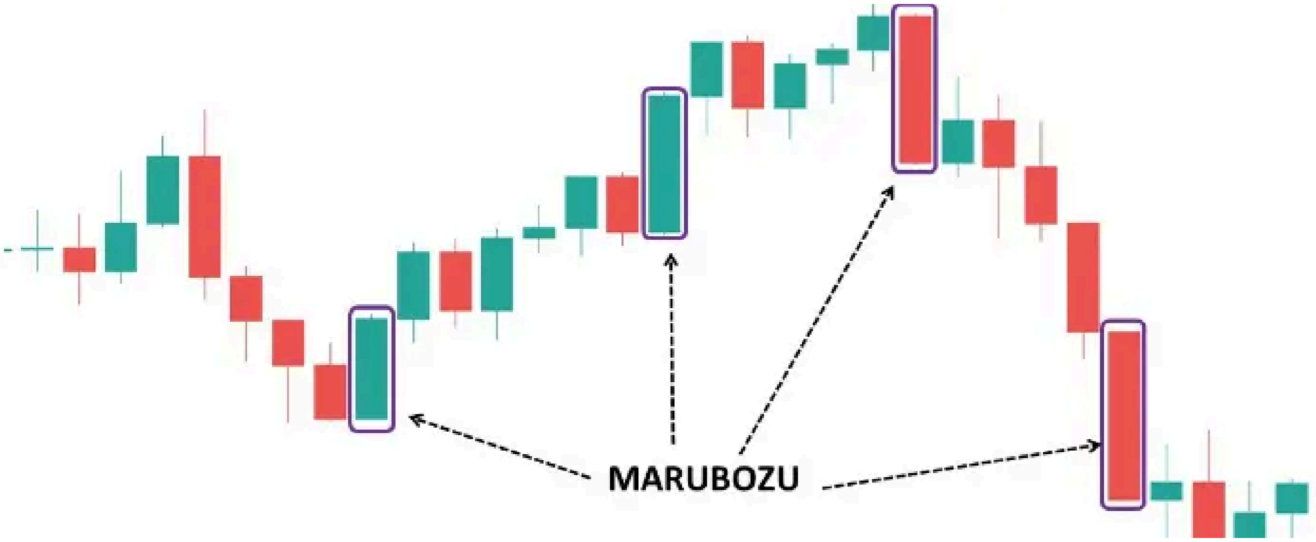
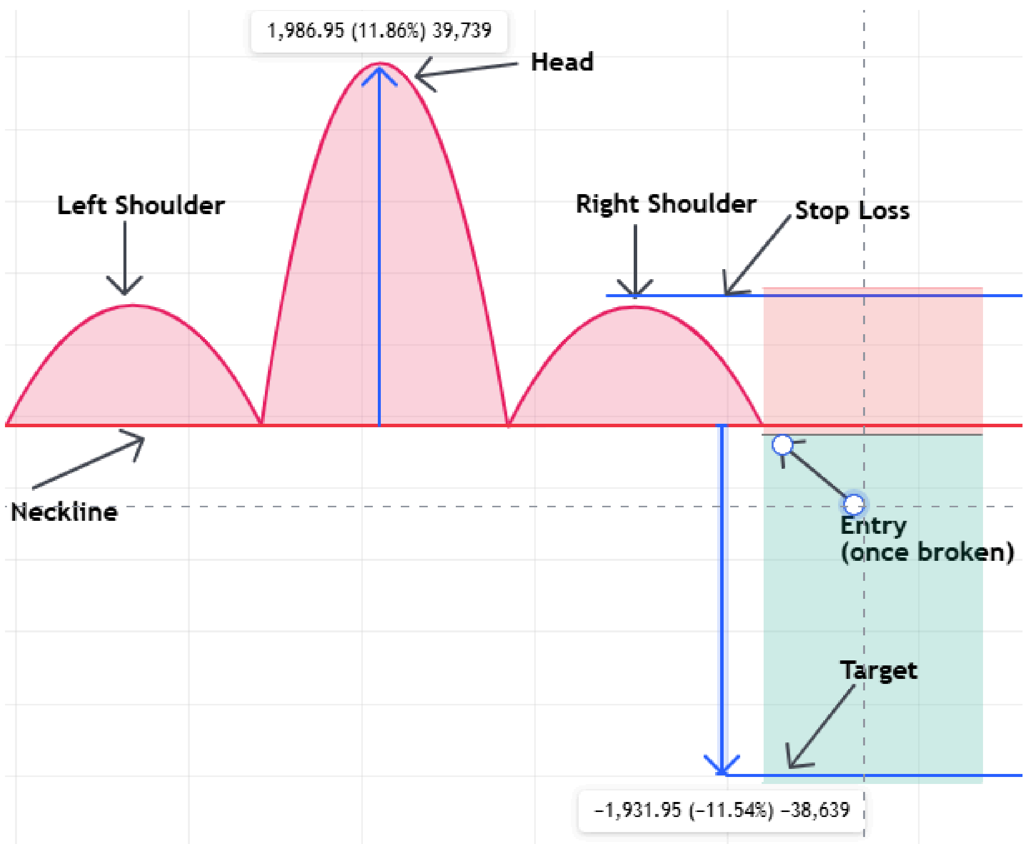


CHART PATTERNS

1. Head & Shoulder : bearish / Reverse head&shoulder : bullish



Points to keep in mind-

1. *A head and shoulders pattern is not complete until the neckline is broken.*

2. If the volume in the left shoulder is greater than the right shoulder, there is an increased likelihood of the head and shoulder pattern completing.

3. If the volume in the right shoulder is greater than left shoulder, failure rates are higher.

4. Horizontal necklines increase the probability of a head and shoulder pattern completing.

5. The more dramatic the slop of the neckline, the more likely the pattern will fail to develop.

6. Aggressive entries can be taken immediately when the price breaks the neckline.

7. Conservative entries can be taken after the neckline has been re-tested post-breakout.

8. If price breaks the neckline, retracements occur almost 70% of the time.

2. Rounding Bottom Chart Pattern

Points to keep in mind -

1. Confirm the Pattern: Ensure that the rounding bottom pattern meets the necessary criteria: a sustained downtrend, a smooth and rounded curve, decreasing volume, and a breakout above the resistance level.

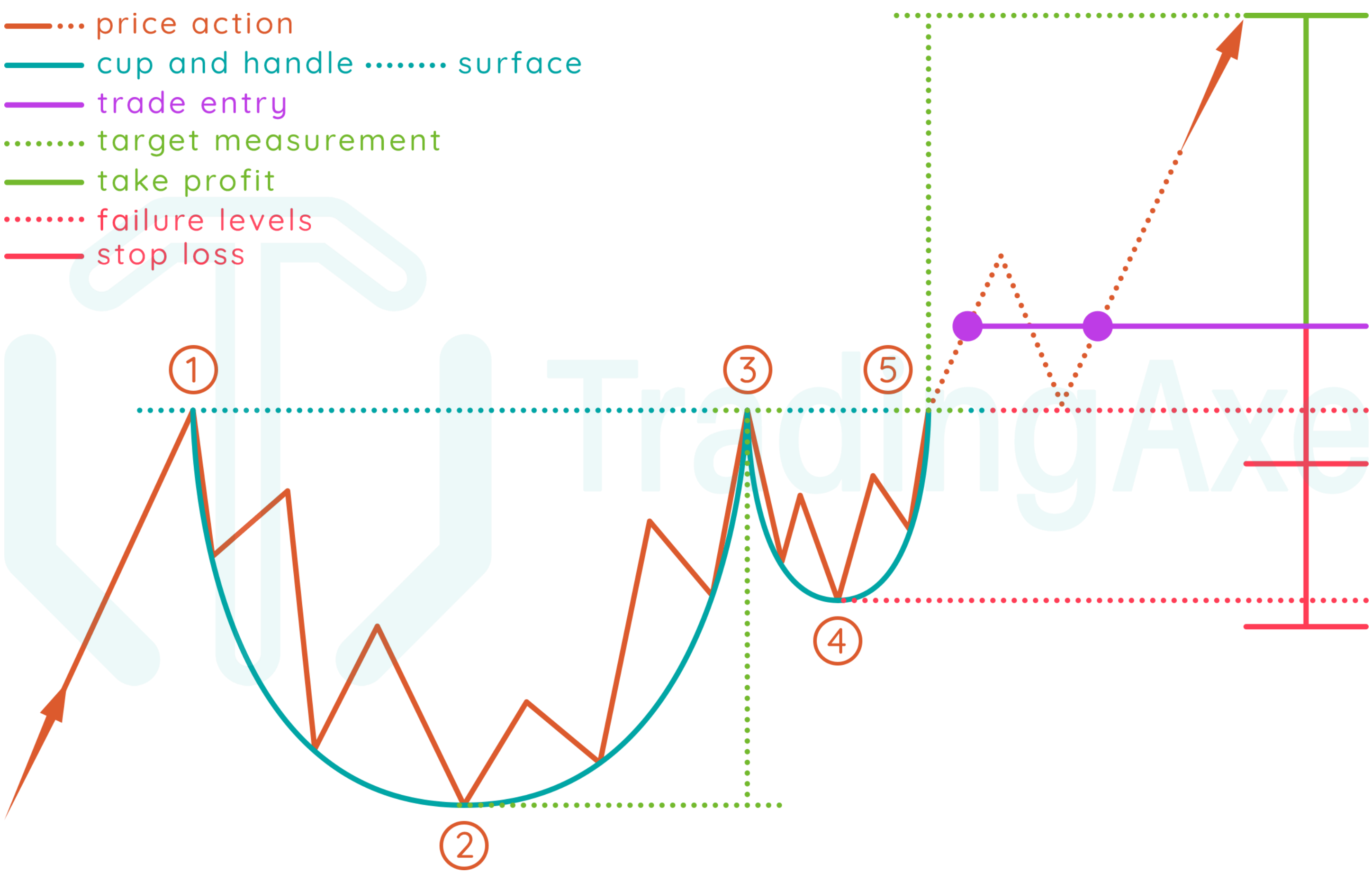
2. Determine the Trade Direction: A rounding bottom indicates a potential reversal from a downtrend to an uptrend. Therefore, you should consider taking a long (buy) position.

3. Trailing Stop: Once the price has moved in your favour, you can use a trailing stop-loss to protect profits. This means adjusting your stop-loss upward as the price rises to lock in gains while giving the trade room to breathe.

4. Exit Strategy: Have a clear exit strategy in place. If the price reaches your price target and shows signs of stalling or reversing, consider closing the trade to secure your profits.

Variation in rounding bottom -

1. Cup and handle

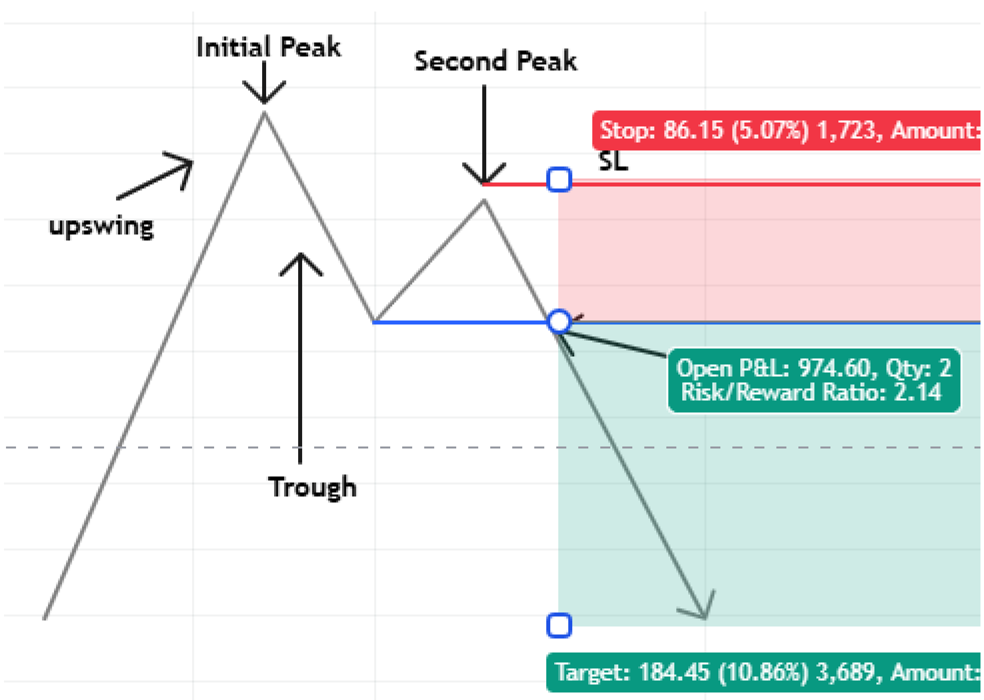


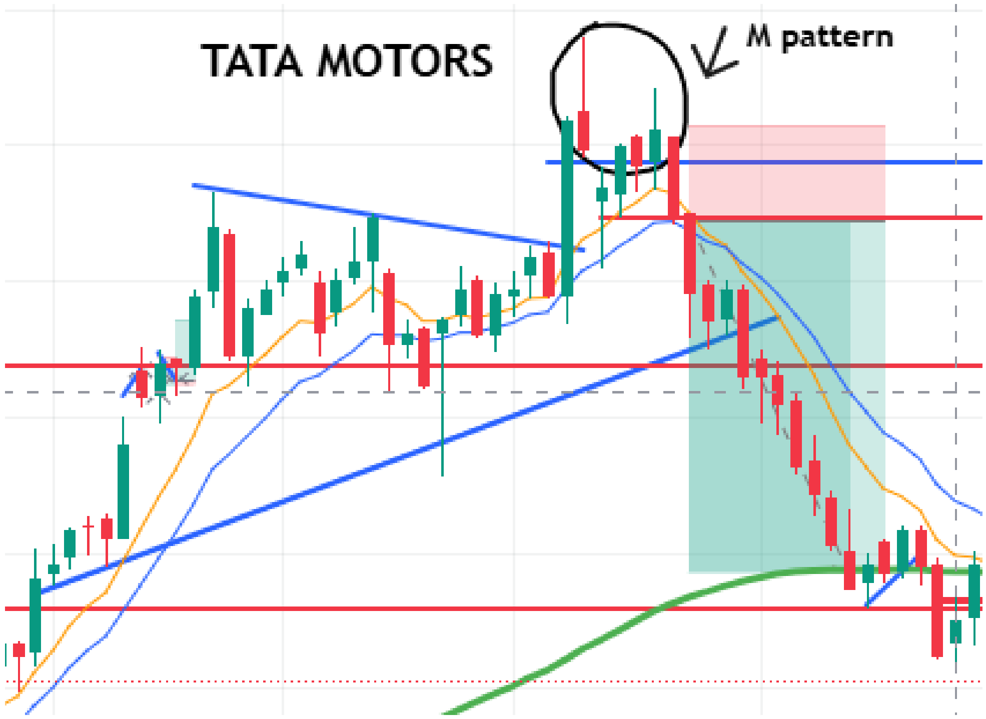
3. Double Top / M Pattern – bearish

A double top is an extremely bearish technical reversal pattern that forms after an asset reaches a high price two consecutive times with a moderate decline between the two highs. It is confirmed once the asset's price falls below a support level equal to the low between the two prior highs.

KEY TAKEAWAYS

- It is not always easy to spot because there needs to be a confirmation with a break below support.
- While a double top is a bearish signal, a double bottom is a bullish signal.
- Top tops usually have an upswing, initial peak, trough, second peak, and neckline.
- Investors can short trade after the break or place small trades, as double tops may have limited profit potential.





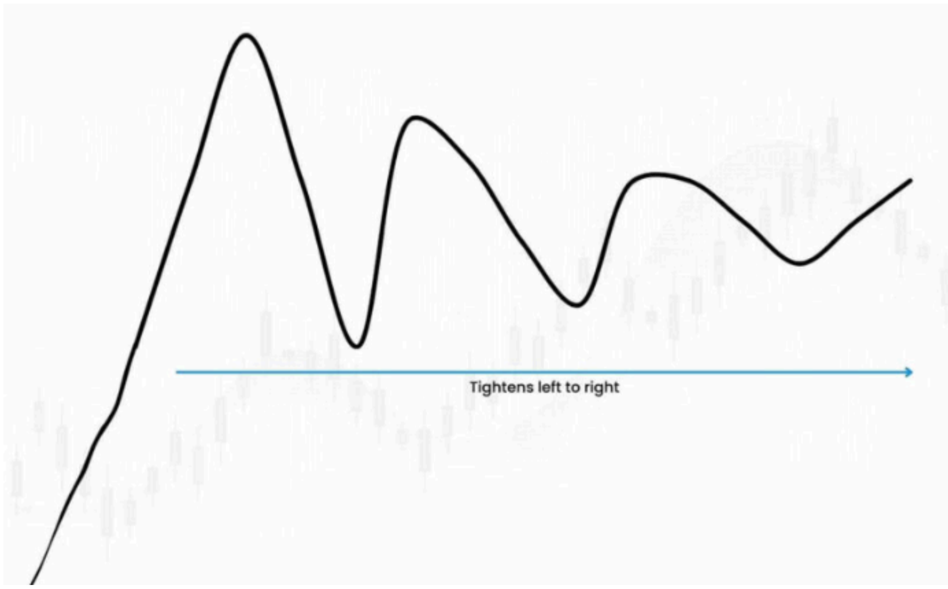
4. **Double bottom / W Pattern – bullish**

A double bottom pattern is a classic technical analysis charting formation that represents a major change in trend and a momentum reversal from a prior down move in market trading. It describes the drop of a security or index, a rebound, another drop to the same or similar level as the original drop, and finally another rebound (that may become a new uptrend). The double bottom looks like the letter "W." The twice-touched low is now considered a significant support level. While those two lows hold, the upside has new potential.

KEY TAKEAWAYS

- The double bottom pattern looks like the letter "W." The twice-touched low is considered a support level.
- The double bottom pattern always follows a major or minor downtrend in a particular security, and signals the reversal and the beginning of a potential uptrend.
- Double bottom patterns occur relatively often and in many different timeframes.
- A daily double bottom may indicate a longer-term reversal or shift in trend, while an hourly double bottom may signal only a brief pause in a down trend.

5. VCP (Volatility Contraction Pattern)



The main idea behind the VCP is that each pullback in price gets smaller, forming a tighter range as sellers start to lose interest. This contraction tells you that supply is drying up, while demand could be building, setting the stage for a breakout. Minervini watches for a strong breakout with increased volume, which he sees as a sign of institutional buying and potential for a continued move upward.

Key Elements of a VCP

VCP is a trading setup that shows a stock tightening up before a potential breakout.

Price Contractions: In a VCP, each price pullback is smaller than the last, creating a tighter price range over time. For example, the first pullback might be 25%, the next 15%, and then 8% for the final one. This pattern of shrinking pullbacks shows that selling pressure is easing.

Decrease in Volume: Each contraction also sees a drop in trading volume, indicating fewer sellers are active. This decline in volume suggests that supply is drying up, setting the stage for a move higher.

Symmetry and Structure: A VCP pattern usually forms with 2 to 6 contractions, each smaller than the last, creating a symmetrical “base” that tightens from left to right. This organized structure often signals that strong investors are accumulating shares.

Low Supply at the Pivot Point: The VCP reaches a pivot point where the price is at its tightest and volume is very low. If the stock breaks above this level on increased volume, it often triggers a strong upward move.

****Continuation in an Uptrend:*** VCPs usually show up in an uptrend and act as continuation patterns. They're most effective when a stock is already gaining and the VCP forms as a pause before the next leg up.

How to Catch a VCP Breakout ?

Look for Stocks in a Stage 2 Uptrend:

Start by identifying stocks that are in a strong uptrend, ideally in Stage 2 of the market cycle. According to Stan Weinstein's Stage Analysis.

Check for Volume Contractions:

Watch for volume to drop with each price contraction. Each time the stock dips, volume should decrease. This signals that selling pressure is fading and that the stock might be ready for a breakout.

Watch for a Tight Base Near the Pivot:

Toward the end of the pattern, look for the price to settle into a tight range with minimal day-to-day movement. Ideally, volume should be very low here as the stock approaches its breakout point, or "pivot." This tightness shows that supply is minimal.

Enter on the Breakout:

Wait for the stock to break above the pivot point on a surge in volume. Enter your position as soon as you see strong buying volume, which confirms that demand is pushing the price higher.

Manage Risk:

Place a stop-loss just below the most recent low or a set percentage below the pivot. This will help limit losses if the breakout fails.

Key Takeaways: Volatility Contraction Pattern (VCP)

✅ **High Success Rate** – 60-70% of VCP breakouts lead to strong rallies, especially in bull markets. 📈

✅ **Volume Confirmation** – Breakouts with **high volume** have a greater chance of success; weak volume may signal a false move. 🔍

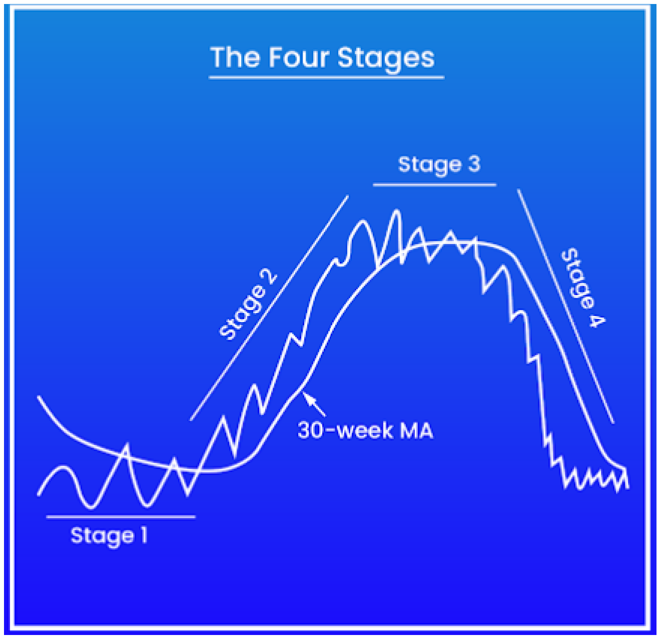
✅ **Optimal Duration** – VCP typically forms in **6-12 weeks** with **3-4 contractions**; fewer contractions may lack strength, while too many show indecision. ⏳

✅ **Institutional Accumulation** – Shrinking contractions signal that **selling pressure is reducing**, hinting at accumulation before a breakout. 💰

✅ **Strong Risk-to-Reward** – Offers **1:3 or better** risk-reward; ideal stop-loss is **5-8%** below the last

contraction, aiming for **15%+ gains**. 🎯🚀

The Four Stages of a Stock's Lifecycle in Stage Analysis



Stage 1 – Accumulation (Basing Phase) 🏗️

- The stock moves **sideways** after a downtrend.
- **Volume is low**, indicating institutional accumulation.
- **200-day Moving Average (MA) flattens out.**
- 🔍 **Best for** early investors looking for breakout signs.

Stage 2 – Uptrend (Advancing Phase) 🚀

- Stock **breaks out** of the base with strong volume.
- **Price stays above the 10 & 20 EMA**, showing strong momentum.
- **10 EMA > 20 EMA > 200-day MA**, confirming a bullish trend.
- Higher highs & higher lows signal continued strength.
- 🔍 **Best stage for buying & trend-following traders.**
- **Pullbacks to the 10 or 20 EMA** offer great entry points.

💡 **Pro Tip:** As long as the price respects the 10 & 20 EMA, the uptrend remains strong!

Stage 3 – Distribution (Topping Phase) ⏳

- Stock **stalls after a big rally**; price moves sideways.
- Volume spikes with selling pressure from institutions.
- **200-day MA flattens, signaling trend exhaustion.**
- 🔍 **Best for reducing positions or setting stop-losses.**

Stage 4 – Downtrend (Declining Phase) 📉

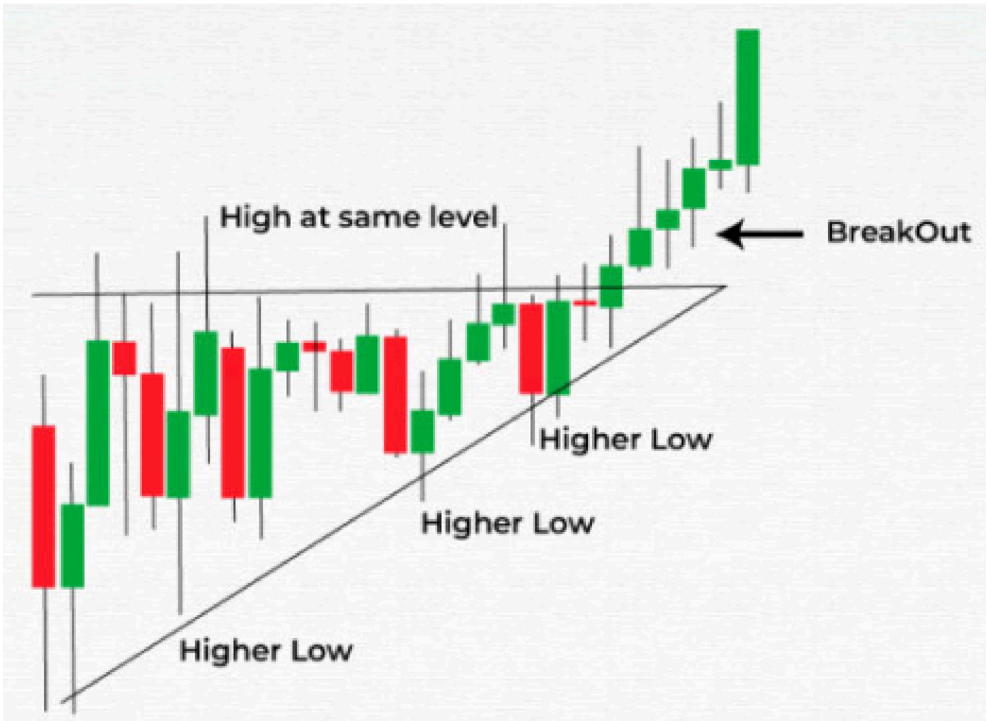
- Stock **breaks down** from the distribution zone.
- **Price below 200-day MA**, which slopes **downward**.
- Lower highs & lower lows confirm the **bearish trend**.
- 🔍 **Best for shorting opportunities or avoiding the stock.**

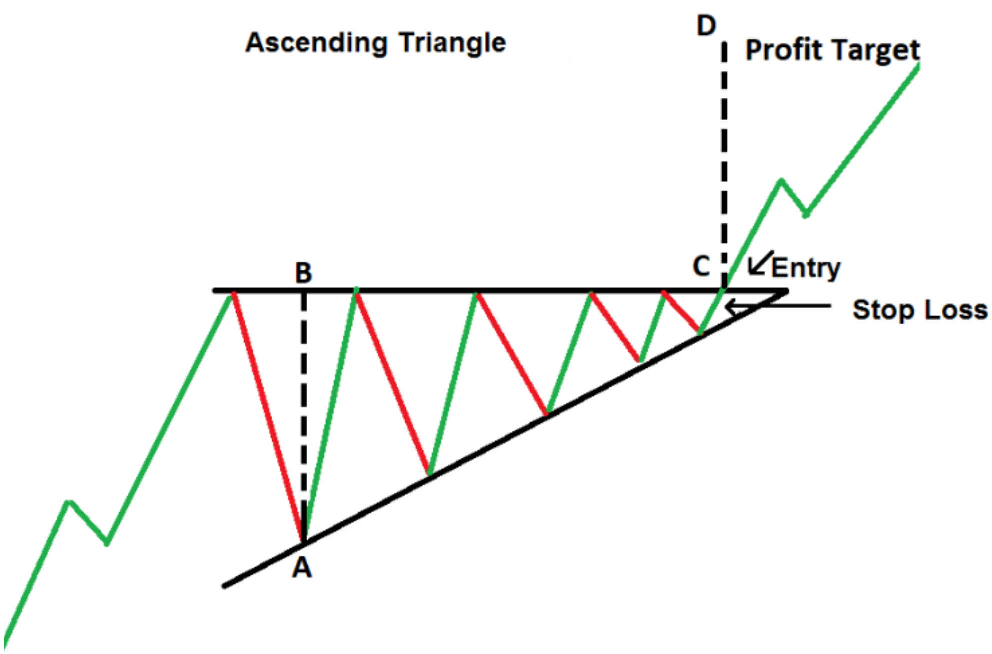
💡 **Pro Tip:** Always trade in **Stage 2** and avoid **Stage 4** unless shorting! 🚀🔥


ARTEMIS MEDICARE SERVICES LIMI · 1D · BSE
D
O320.30 H345.00 L3
280.00
SELL
6.00
286.00
BUY
2
breakout
VCP
uptrend

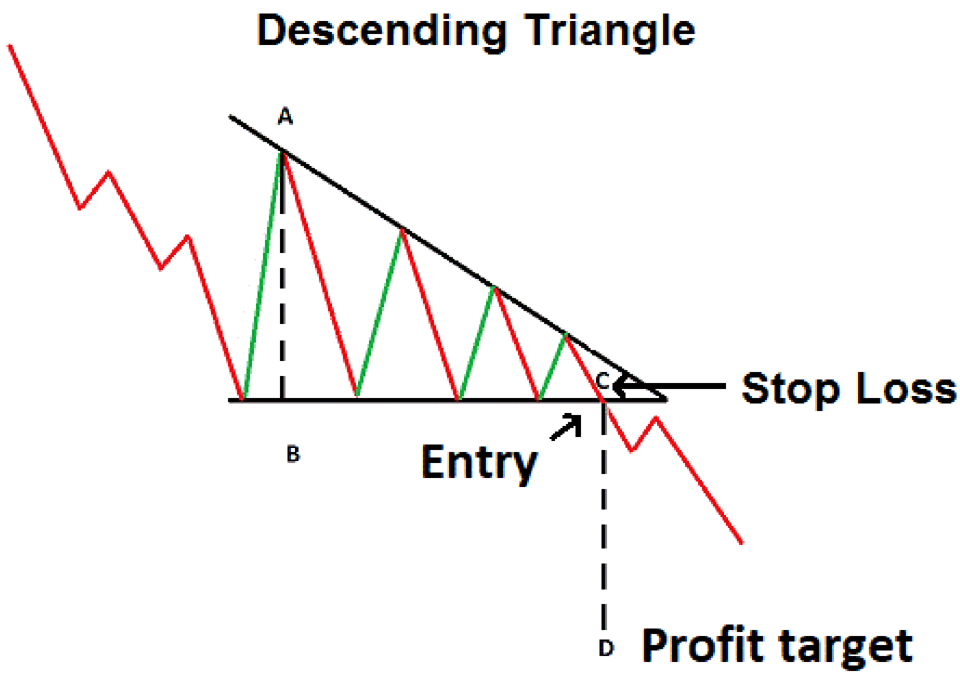
Chart patterns that comes under VCP:

1. Ascending Triangle (bullish)

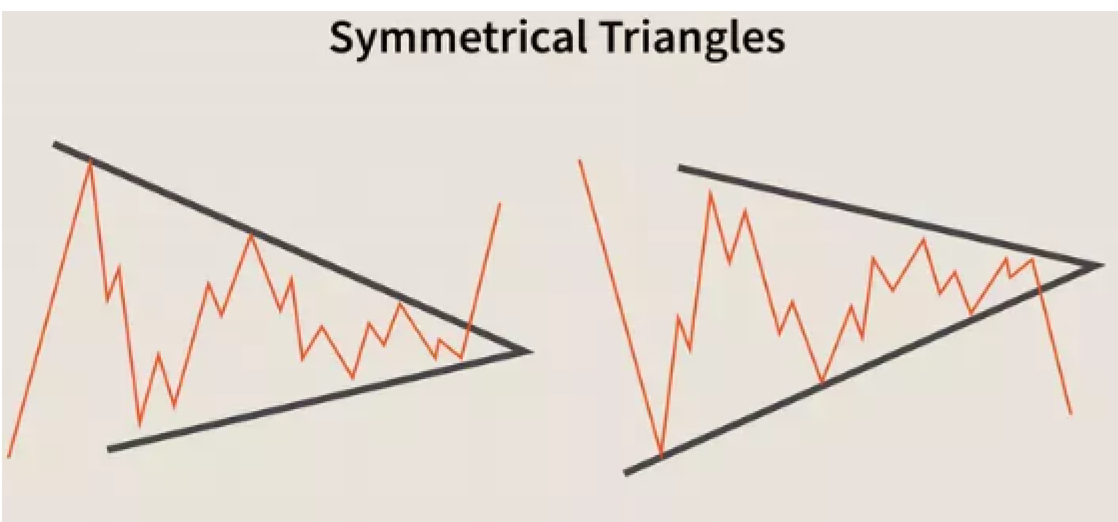




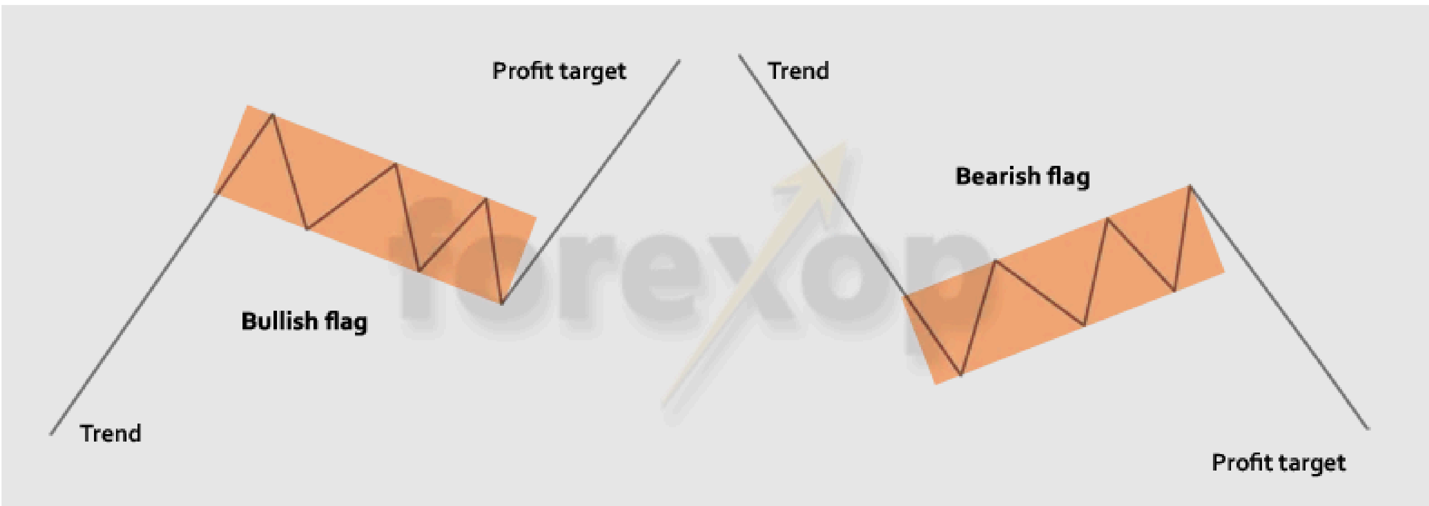
2. Descending Triangle (bearish)



3. Symmetrical Triangle (bullish/bearish)



4. Flag and pole



How to Identify a Strong Flag and Pole Pattern 🚩📈

The **Flag and Pole** pattern is a powerful trend continuation pattern, but for it to work well, certain conditions must be met.

1️⃣ Strong Upward Move (The Pole) 📊

✅ The stock should **rise sharply** before forming the flag.

✅ This rise should be **at least twice the size** of the flag.

✅ There should be **high buying volume** during this move, showing strong demand.

2️⃣ Healthy Flag Formation 🚩

✅ After the strong rise, the stock should take a **small pause**, moving **sideways or slightly downward**.

✅ This pullback should be **small** (not more than **38-50% of the rise**).

✅ **Low volume** during the flag formation is a good sign (shows sellers are weak).

3️⃣ Breakout Confirmation 📈

✅ The stock should break **above the flag** with a **strong green candle**.

✅ A **big increase in volume** confirms that buyers are stepping in.

✅ If volume is low, the breakout might fail.

4️⃣ Profit Target & Stop-Loss 🎯

✅ **Profit Target:** Measure the height of the pole and add it to the breakout point.

✅ **Stop-Loss:** Place it just **below the flag** to limit risk.

💡 **Simple Tip:**

- **Small and tight flags** = stronger breakouts 🚀.
- **Wide, choppy flags** = higher failure chances ⚠️.

1. Exponential Moving Average (EMA) – When to Use & When to Avoid

✅ When to Use EMA?

✔ **Trending Markets (Works Best in Strong Trends)**

- In a **strong uptrend**, price **respects** the 9-EMA, 20-EMA, or 50-EMA.
- Use **pullbacks to EMA as entries** instead of chasing price.
- **Example:** If price is trending up and touches the 20-EMA multiple times without breaking, **buy on pullbacks**.

✔ **For Dynamic Support & Resistance**

- Instead of fixed support/resistance, EMA moves with price, **adjusting to volatility**.
- **Example:** If Nifty or Bitcoin keeps bouncing off the 50-EMA, that's your **dynamic support**.

✔ **EMA Crossovers (ONLY in trending conditions!)**

- **Golden Cross (Fast EMA > Slow EMA)** = Bullish confirmation.
- **Death Cross (Fast EMA < Slow EMA)** = Bearish confirmation.
- Works well in **momentum markets**, but **AVOID in sideways conditions** (false signals).

❌ When NOT to Use EMA?

❌ **Sideways Markets = Useless (Too Many Fake Signals)**

- If price is **whipsawing around EMA**, **DON'T TRADE WITH IT!**
- **Example:** If price keeps crossing above/below the 50-EMA without a clear trend, ignore EMA.

❌ **Not for Overextended Moves (Late Entries = FOMO Traps)**

- If price is **too far from EMA**, DO NOT chase a trade.
- **Wait for a pullback to EMA** for a safe entry.

🚀 Pro Tip: Best EMA Combinations for Different Strategies

📌 **For Scalping:** 9-EMA & 20-EMA (Intraday momentum).
📌 **For Swing Trading:** 20-EMA & 50-EMA (Reliable in trends).
📌 **For Long-Term Investing:** 50-EMA & 200-EMA (Big trend confirmation).

2. Relative Strength Index (RSI) – When to Use & When to Avoid

RSI is **not just about 70 = overbought, 30 = oversold. That's outdated thinking.**
Let's see where it actually works.

✅ When to Use RSI?

✔️ **Divergences = Best Use of RSI *****

- RSI **divergence** is more powerful than basic overbought/oversold levels.
- **Bullish Divergence** → Price makes **lower low**, but RSI makes **higher low** → **Buy Signal**.
- **Bearish Divergence** → Price makes **higher high**, but RSI makes **lower high** → **Sell Signal**.

✔️ **Confirming Breakouts & Fakeouts**

- A **breakout with RSI above 60** is stronger.
- A **fake breakout happens when RSI doesn't confirm** (stays weak).
- **Example:** If a stock breaks resistance but RSI is **still below 50**, don't trust the breakout.

❌ When NOT to Use RSI?

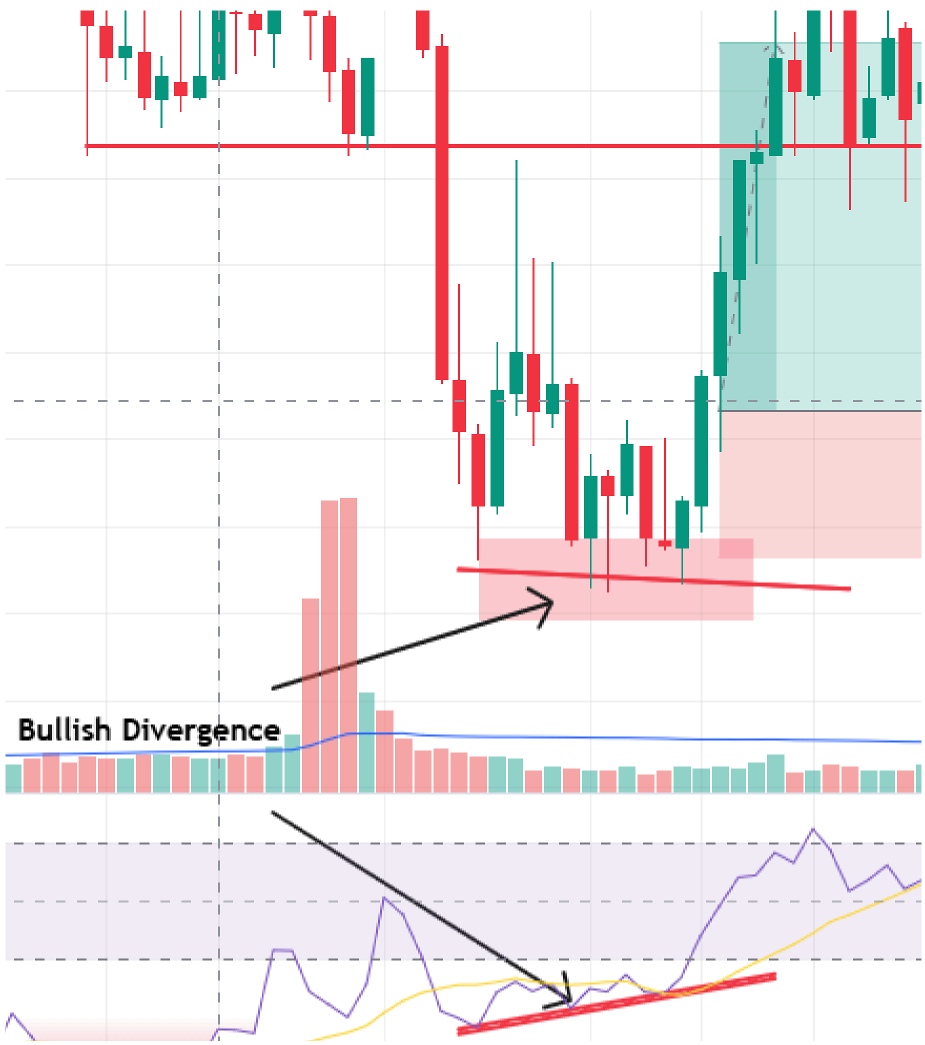
❌ **RSI Alone is Useless (Needs Price Action Confirmation!)**

- If RSI is **oversold at 30, it doesn't mean buy**. Many stocks keep falling below 30.
- Always **combine with support levels, EMA, or volume** before taking action.

❌ **RSI in Super Strong Trends = Dangerous**

- **In strong uptrends, RSI stays overbought for days/weeks – DON'T SHORT JUST BECAUSE RSI > 70!**
- **In strong downtrends, RSI stays below 30 – DON'T BUY JUST BECAUSE RSI < 30!**
- **Example:** Tesla had RSI > 75 for weeks during its parabolic run – Shorting based on RSI would have killed you.

Bullish Divergence



Bearish Divergence

3. Volume – The REAL Indicator of Smart Money

Volume is the **only true confirmation of price action**. If price moves without volume, it's fake.

✅ When to Use Volume?

✔️ **Breakout Confirmation – No Volume = No Real Breakout**

- A real breakout must have **higher volume than the last 10-20 bars**.
- If a stock **breaks resistance with weak volume, it's a trap**.
- **Example:** If price breaks ₹500 but volume is **lower than the average**, don't trust the breakout.

✔️ **Volume Spikes = Institutional Moves**

- If a **sudden huge volume spike happens**, smart money is involved.
- High volume at support = Accumulation (bullish).
- High volume at resistance = Distribution (bearish).
- **Example:** If a stock falls to a key support level and volume spikes, buyers are stepping in.

Final Takeaways – How to Combine EMA, RSI, and Volume for Real Trading

Use EMA for trend direction & dynamic support/resistance.
Use RSI for divergences & confirming trends .

Use Volume to confirm breakouts, reversals, and smart money activity.

🔥 Simple Trading Strategy Using All Three

Example: How to Catch a Trend Reversal?

Example:

📌 Step 1: Price **breaks 50-EMA** for the first time in months (trend shift signal).
📌 Step 2: RSI shows **bullish divergence** (confirmation).
📌 Step 3: Volume spikes on breakout (smart money entering).
📌 Step 4: **Enter trade → Stop-loss below last swing low → Ride the trend.**

3. Risk Management (Most Imp)

1️⃣ **Position Sizing (Capital Allocation)** 💰

- **Fixed % Risk Per Trade** (e.g., 1-2% of capital)
- **Risk-Reward Ratio** (e.g., 1:2 or 1:3)
- **Portfolio Diversification** (Avoid putting all money in one asset)

2️⃣ **Stop Loss & Exit Strategy (Damage Control)** 🚨

- **Stop Loss Types** (Fixed, Trailing, ATR-based)
- **Take Profit Strategy** (Partial exits, Scaling out)

- **Hedging** (Using options or inverse trades)

3️⃣ **Psychological Discipline (Emotional Control)** 🧠

- **Avoid Overtrading** (Quality over quantity)
- **Stick to the Plan** (Follow pre-defined rules)
- **Manage Drawdowns** (Accept losses, stay in the game)